matic debits to our money-market account. Every so often, interest on a maturing CD is credited to our account. It's all a little scary, even after four years of retirement. We travel for four or five months, helping ourselves to the money we need at the nearest bank. The bank may be in Boston or Madrid, Los Angeles or Vienna. At the end of our trip we return home. We find our net worth has increased. We find all the paperwork is in order, that nothing needs our attention. It's almost as if our lives go on without us, whether we intervene in them or not.

It reminds me of the joke about the guy who took a cash advance on his VISA to pay his MasterCard bill. When the VISA bill came, he paid it with a cash advance on his MasterCard. He paid the next MasterCard bill with another VISA advance, and so on for several months. He finally wrote both VISA and MasterCard. "Why don't you two mail your bills to each other and leave me out of it!"

Every January Vicki adds our bank and CD balances and checks that the total went up by inflation during the year. So far it has—with a few thousand dollars to spare.

Choose CDs over other investments because they're simple and secure. There's no work, no analysis, and no decisions to make. The CDs are backed by a U.S. government agency, making them nearly risk-free.

Why one-year CDs instead of a longer or shorter maturity? Banks normally pay one or two points higher on one-year CDs than on money-market accounts. If a money-market account pays 6.5 percent, for example, a one-year CD in the same bank is likely to pay about 8 percent. That difference adds up over time.

Going longer than one year, however, exposes principal to a run-up in rates. Suppose you go out three years. Market rates could jump in three years from, say, 8 percent to 12 percent. You'd be stuck with a low 8 percent yield throughout the three-year period. Rates could go down over the three years. That means you're stuck with annual rollovers at lower rates. But when rates go down it's usually because inflation